Economics GCE A Level 2024 - Paper 3

Duration: 1h45 | Cameroon GCE Board

General Certificate of Education Board - General Certificate of Education Examination. Economics 3 (0725), ADVANCED LEVEL, June 2024. Duration: One Hour Forty Five Minutes.

INSTRUCTIONS TO CANDIDATES: Answer ANY THREE questions. All questions carry equal marks. You are advised to spend the first fifteen minutes reading the paper. In calculations, you are advised to show all the steps in your working. You are reminded of the necessity for good English and orderly presentation in your answers. Calculators are allowed.

Exercise 1

Table 1 below shows the weekly total utility figures for an individual consumer of ice-cream and cake after a hot afternoon. The price of ice cream is 1000frs, that of cake is 500 frs and the consumer has 5000frs to spend on the two goods.

Table 1

Quantity	Total utility of ice cream (Utils)	Total utility of cake (Utils)
1	90	55
2	150	105
3	180	150
4	200	190
5	200	225
6	180	255

a. (i) Define the term consumer surplus. (2 marks)

(ii) Suppose on arriving the market, only ice cream is available and free of charge. What quantity of ice cream will this individual consume to attain satiety and why? (4 marks)

b. Determine the consumer's equilibrium given that all the goods are now available at the prices given above and that the consumer does not have any advantage of keeping money. (8 marks)

c. List two factors that can cause the budget line to change. (2 marks)

d. List two characteristics of indifference curves. (4 marks)

Exercise 2

Suppose a lady earns a net monthly income of 25,000 FCFA as a hairdresser but decides to abandon it to run a small restaurant. She withdraws 500,000 FCFA from her Credit Union account and invests in the restaurant project. The current monthly interest rate paid on savings in the Credit Union is 1%. She uses her house to run the restaurant that used to fetch her monthly rent of 10,000 FCFA. She incurs these other costs per month:

- Council rate: 10,000 FCFA
- Food and related items: 50,000 FCFA
- Water, electricity and other costs: 25,000 FCFA
- Detergents and related cleaning materials: 10,000 FCFA
- Salary of the worker she has employed: 15,000 FCFA

She makes a monthly income of 125,000 FCFA.

a. Define:

(i) explicit costs. (2 marks)

(ii) implicit costs. (2 marks)

b. Calculate the Lady's explicit and implicit costs. (8 marks)

c. Calculate her:

(i) accounting profit. (3 marks)

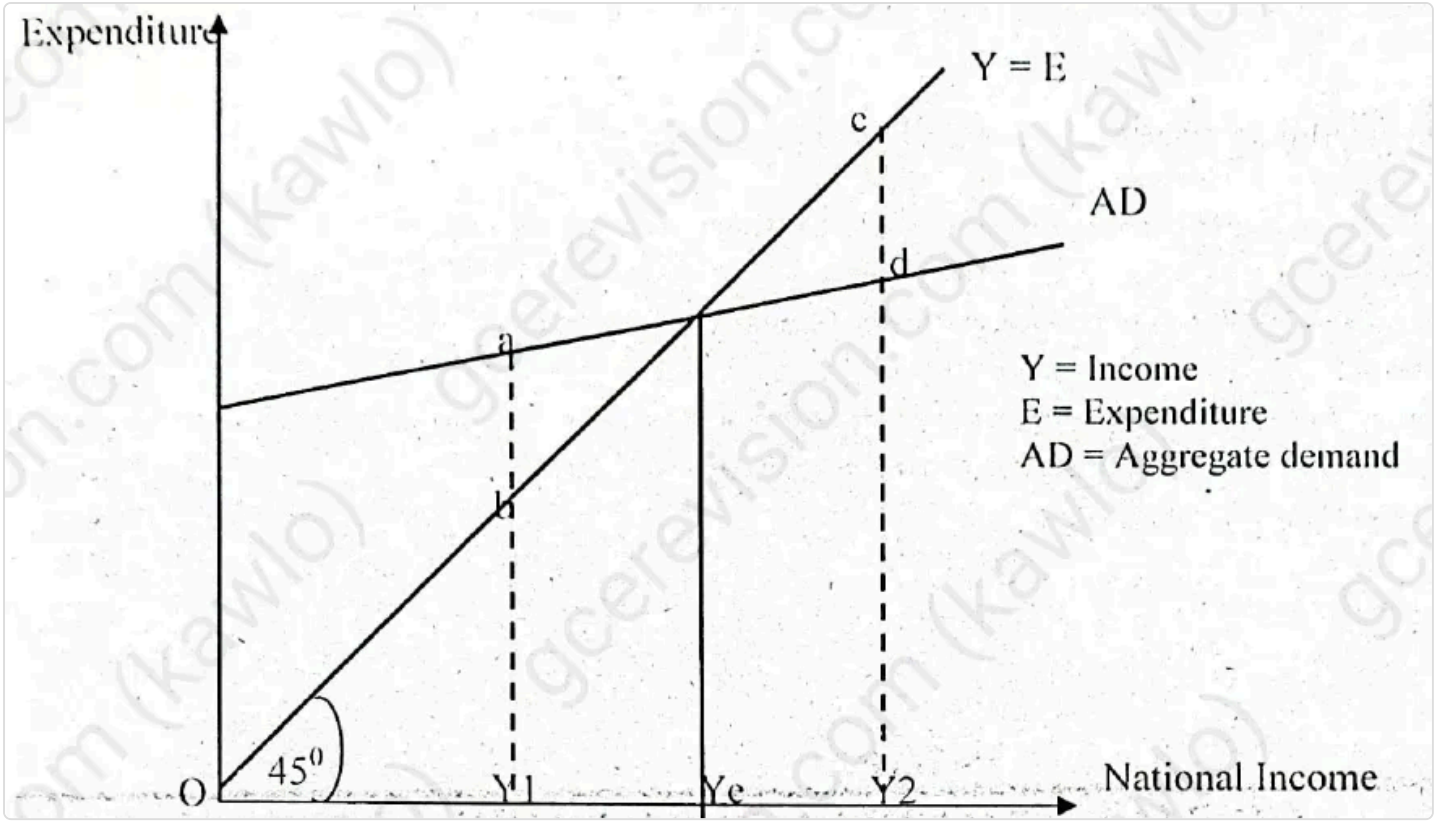
(ii) economic profit. (3 marks)

d. What is the minimum income this lady needs to make to operate in the short run? (2 marks)

Exercise 3

Figure 1 below shows the equilibrium national income situation of a 3-sector open economy without government.

Figure 1



Y = Income; E = Expenditure; AD = Aggregate demand.

a. What are the components of aggregate demand in this context? (3 marks)

b. (i) What does cd in the diagram above represent? (2 marks)

(ii) List two ways by which the situation in b(i) above can be solved. (4 marks)

c. Enumerate the various injections and leakages for this economy. (4 marks)

d. Suppose the marginal propensity to consume (MPC) for this economy is 0.7 and the marginal propensity to import (MPM) is 0.2.

(i) Calculate the value of the multiplier for this economy. (4 marks)

(ii) Determine the value of its marginal propensity to save (MPS). (3 marks)

Exercise 4

Table 2 below shows some population statistics for a hypothetical economy. Study the table carefully and answer the questions that follow:

Table 2

Periods	Total Population	% population aged 0-14	% population aged 65+	Live births per year	Deaths per year	Dependency ratio	Population growth rate
2000 - 2005	17,554,000	41.6	3.5	632,000	243,000		

Periods	Total Population	% population aged 0-14	% population aged 65+	Live births per year	Deaths per year	Dependency ratio	Population growth rate
2005 - 2010	19,599,000	40.6	3.5	691,000	270,000		

a. (i) Complete the table above. (4 marks)

(ii) From the dependency ratio, what conclusion can be made about the standard of living ? (4 marks)

b. State two reasons why the conclusion in 'a (ii)' above may be wrong. (4 marks)

c. Apart from the evidence in the table above, state one other factor that may affect the actual population growth rate. (2 marks)

d. Outline four benefits of an increase in the size of population. (4 marks)

e. Which economic theory did Rev. Thomas Malthus base his population theory on ? (2 marks)

Exercise 5

This question is based on the passage below:

> *"Macroeconomic equilibrium is at the heart of macro-economic analysis. It is unfortunate that in liberal economies, macroeconomic equilibrium is rarely attained and if attained it will usually come along with some undesirable consequences. We then talk of macroeconomic failure or simply of Macro failure. It becomes necessary for the government to intervene in the economy so as to influence some (undesirable consequences) outcomes".*

Source: Advanced Economics Management and Marketing, page 502, by Ndichia Gerald.

a. Enumerate four direct ways and three indirect ways the government of Cameroon can intervene in her economy. (7 marks)

b. List any five reasons why the Cameroon government may deem it necessary to intervene in her economy. (5 marks)

c. Identify any four undesirable consequences as government attempts to achieve economic growth. (4 marks)

d. State any two policies used by the government to attain her economic objectives. (2 marks)

e. Give an alternative name for a liberal economy. (2 marks)

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